

24STCV05063 24STCV05063

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-08-13

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Case Number: 24STCV05063 Hearing Date: August 13, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 2:05 PM on August 12, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on August 12, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Plaintiff Fire District alleges that

Defendant Fire Foundation has breached an Agreement by distributing funds to charities and for programs outside of the County of Los Angeles and/or not for the benefit of the Fire District.

Defendants Stacy Mungo Flanigan, Steven

Page and Jon Allan Schultz filed a Cross-Complaint alleging pregnancy discrimination and associational discrimination.

Defendant Los Angeles County Fire Department

Foundation has filed a petition for dissolution.

TENTATIVE RULING

Defendant

Los Angeles County Fire Department Foundation's Petition for dissolution is GRANTED.

The Court sets an order to show cause why an order shall not be made declaring the corporation duly wound up and dissolved (Corp. Code § 6617(b)) for January 15, 2027 at 8:30 a.m. Defendant is to give notice to all known creditors and claimants whose addresses appear on the records of the corporation of the order to show cause. Said notice shall state that any response to the order to show cause is due by December 18, 2027. Defendant shall file a status report by January 8, 2027 as to all claims which have been submitted to Defendant in accordance with the notice procedures set forth in Corp. Code § 6618.

The Court's current injunction precluding the Foundation from expending any monies beyond the budget set by the Court shall remain in effect until it has been ordered lifted.

Petition For Dissolution

Discussion

On July 8, 2026, Defendant Los Angeles County Fire Department Foundation filed a petition for dissolution pursuant California Corporations Code Sections 6614 and 6617, applicable to nonprofit public benefit corporations.

Plaintiff does not oppose dissolution

in principle at the appropriate time, but requests that the Court condition any future dissolution order on compliance with the statutory protections afforded to known claimants, including Plaintiff, and maintain the existing preliminary injunction until the issuance of any such order.

Corporation Code § 6614 provides:

If a corporation is in the process of voluntary winding up, the superior court of the proper county, upon the petition of (a) the corporation, or (b) the authorized number (Section 5036), or (c) the Attorney General, or (d) three or more creditors, and upon such notice to the corporation and to other persons interested in the corporation as members and creditors as the court may order, may take jurisdiction over such voluntary winding up proceeding if that appears necessary for the protection of any parties in interest or if it appears necessary to protect the purpose or purposes served by the corporation. The court, if it assumes jurisdiction, may make such orders as to any and all matters concerning the winding up of the affairs of the corporation and the protection of its creditors, its assets and its purpose or purposes as justice and equity may require. The provisions of Chapter 15 (commencing with Section 6510) (except Sections 6510 and 6511) shall apply to such court proceedings.

(Corp. Code § 6614 [bold emphasis added].)

Corporations Code § 6617 provides:

(a) The board, in lieu of filing the certificate of dissolution, may petition the superior court of the proper county for an order declaring the corporation duly wound up and dissolved. Such petition shall be filed in the name of the corporation.

(b) Upon the filing of the petition, the court shall make an order requiring all persons, including the Attorney General, interested to show cause why an order shall not be made declaring the corporation duly wound up and dissolved and shall direct that the order be served by notice to all creditors, claimants and members in the same manner as the notice given under subdivision (b) of Section 6517. Notice shall be served upon the Attorney General.

(c) Any person claiming to be interested as creditor or otherwise may appear in the proceeding at any time before the expiration of 30 days from the completion of publication of the order to show cause and contest the petition, and upon failure to appear such person's claim shall be barred.

(d) Thereafter an order shall be entered and filed and have the effect as prescribed in Sections 6518 and 6519.

(Corp. Code § 6617 [bold emphasis and

underlining added].)

Per Corporations

Code § 6617, because Defendant has filed a petition for dissolution pursuant to Corp. Code § 6617, the Court is required to set an order to show cause why an order shall not be made declaring the corporation duly wound up and dissolved. (Corp. Code § 6617(b).)

The Court notes

that the order of dissolution does not affect Defendant's ability to defend this litigation:

(a) A corporation which is dissolved nevertheless continues to exist for the purpose of winding up its affairs, prosecuting and defending actions by or against it and enabling it to collect and discharge obligations, dispose of and convey its property and collect and divide its assets, but not for the purpose of continuing its activities except so far as necessary for the winding up thereof.

(b) No action or proceeding to which a corporation is a party abates by the dissolution of the corporation or by reason of proceedings for winding up and dissolution thereof.

(c) Any assets inadvertently or otherwise omitted from the winding up continue in the dissolved corporation for the benefit of the persons entitled thereto upon dissolution of the corporation and on realization shall be distributed accordingly.

(Corp. Code § 6720 [bold emphasis added].)

The purpose

of a court-supervised dissolution is a ratable distribution of assets. (In re Trinity Tractor Co. (1970) 3 Cal.App.3d 428, 441.)

(a) A corporation in the process of voluntary winding up may dispose of the known claims against it by following the procedure described in this section.

(b) The written notice to known creditors and claimants required by subdivision (c) of Section 6613[1] shall

comply with all of the following requirements:

(1) Describe any information that must be included in a claim.

(2) Provide a mailing address where a claim may be sent.

(3) State the deadline, which may not be fewer than 120 days from the effective date of the written notice, by which the corporation must receive the claim.

(4) State that the claim will be barred if not received by the deadline.

(c) A claim against the corporation is barred if any of the following occur:

(1) A claimant who has been given the written notice under subdivision

(b) does not deliver the claim to the corporation by the deadline.

(2) A claimant whose claim was rejected by the corporation does not commence a proceeding to enforce the claim within 90 days from the effective date of the rejection notice.

(d) For purposes of this section "claim" does not include a contingent liability or a claim based on an event occurring after the effective date of dissolution.

(Corp. Code § 6618 [bold emphasis added].)

(a) After determining that all the known debts and liabilities of a corporation in the process of winding up have been paid or adequately provided for, the board shall distribute all the remaining corporate assets in the manner provided in Sections 6715 and 6716.

(b) If the winding up is by court proceeding or subject to court supervision, the distribution shall not be made until after the expiration of any period for the presentation of claims that has been prescribed by order of the court.

(c) Anything to the contrary notwithstanding,

assets, if any, which are not subject to attachment, execution or sale for the corporation's debts and liabilities may be distributed pursuant to Sections 6715 and 6716 even though all debts and liabilities have not been paid or adequately provided for.

(Corp. Code § 6713.)

In this case,
the Court will set an order to show cause, and Plaintiff, as well as other known creditors and claimants, may submit a claim. The deadline is 120 days from the effective date of the written notice required by Corp. Code § 6613. (Corp. Code § 6618(b).)

To protect against
the dissipation of assets, the Court's current injunction precluding the Foundation from expending any monies beyond the budget set by the Court shall remain in effect until it has been ordered lifted.

The
Petition for dissolution is GRANTED. The Court sets an order to show cause why an order shall not be made declaring the corporation duly wound up and dissolved (Corp. Code § 6617(b)) for January 15, 2027 at 8:30 a.m. Defendant is to give notice to all known creditors and claimants whose addresses appear on the records of the corporation of the order to show cause. Said notice shall state that any response to the order to show cause is due by December 18, 2027. Defendant shall file a status report by January 8, 2027 as to all claims which have been submitted to Defendant in accordance with the notice procedures set forth in Corp. Code § 6618.

The Court's current
injunction precluding the Foundation from expending any monies beyond the budget set by the Court shall remain in effect until it has been ordered lifted.

[1]

(c) When
a voluntary proceeding for winding up has commenced, the corporation shall cease to conduct its activities except to the extent necessary for the beneficial winding up thereof, to the extent necessary to carry out its purposes and except during such period as the board may deem necessary to preserve the corporation's goodwill or going-concern value pending a sale or other disposition of its assets, or both, in whole or in part. The board shall cause written notice of the commencement of the proceeding for voluntary

winding up to be given by mail to all its members (except no notice need be given to the members who voted in favor of winding up and dissolving the corporation), to all known creditors and claimants whose addresses appear on the records of the corporation, and to the Attorney General.

(Corp. Code § 6613(c)[bold emphasis added].)